

N

Nasdaq 100 index (NDX), 22, 39, 49, 56*f*, 141*f*
 National Futures Association (NFA), 2
 NAV, *see* Net asset value
 NDX, *see* Nasdaq 100 index
 Negative correlation, 8, 69–70, 96
 Net asset value (NAV), 68, 216, 222, 273
 New York City, 21, 32, 257, 292
 New Zealand Dollar (NZD), 3
 NFA (National Futures Association), 2
 Nikkei 225 index, 39, 135, 135*f*, 257
 Nobel Prize, 90
 Non-agricultural sector, 34–37, 34*f*
 North America, 269
 Notional exposure, 100–102
 Notional positions, 254
 Notional values, 10, 23, 41–42, 51
 Notional weights, 102*f*

O

Open interest, 24–25, 24*f*, 30, 244
 Optimisation, 60, 72, 94, 257–258
 Other people's money (OPM), 293–295

P

Performance fees, 7, 19
 average percentage charged for, 12–13
 definition of, 82–83
 in drawdown, 17
 P&L (Profit and loss), 141*f*, 273
 Portfolio Monitoring, 273
 Position sizing, 55, 59, 74, 93
 and diversification, 51–53
 and Sharpe ratio, 67–68
 and trading direction, 100
 using average true range for, 77,
 237, 255–256
 and volatility, 40, 110
 Positive returns, xv, 12, 70, 86, 96–97
 Pro rata, 14, 18
 Profit and loss (P&L), 141*f*, 273
 Programming, 276–280
 Psychological difference, 18–19
 Pullbacks, 71, 262
 and Counter-Trend Model, 236–238
 in drawdown, 86, 207–209
 Python, 69, 278–281

Q

Quantopian, 279–280
 Quants, 1, 278–279, 290, 300

R

Rates sector, 40–43
 Reason points, 60
 Redemptions, 17–18, 124
 Required asset base, 265–266
 Reuters, 273
 Risk factor, xvii, 11, 52–53, 96, 99, 176, 266
 Risk-free returns, 67, 81
 Risk management, 74, 87, 239–240, 255–257
 Risk-to-return profile, 17
 Rollovers, 25, 25*f*, 29–30
 Russia, 34

S

Saudi Arabia, 34
 Schatz contract, 42
 Schwager, Jack, xx, 30
Schwager on Futures: Technical Analysis, 30
 Seasonality, 27, 32, 35, 246
 Sector impact, 96–98
 Sell side, 290–291
 Sharpe ratio, 17, 67, 73, 94, 105, 240, 261, 282
 Short side trading, 140, 147, 153–155
 and core trend model, 93–96
 and counter-trend model, 236
 of equities, 40
 in non-agricultural sector, 97–98
 in rates sector, 110, 113–114
 and moving average strategy, 60–61
 and optimisation, 257
 of S&P 500, 215–216, 216*f*
 and term structure curve, 35
 and trend following, 4, 10, 285
 2003 performance of, 122–123, 122*f*
 2004 performance of, 176
 2009 performance of, 160
 2012 performance of, 110
 2020 performance of, 220
 Short-term interest futures, 42
 Short-term interest rates (STIRs), 41
 Singapore, 269
 Slippage, 54, 61, 107, 250, 259, 268, 274.
 See also commissions